

the hardest hit. Fights over the amount due per contract ensued. A little over a year after the bubble burst, the Dutch government stepped in to declare that the contracts could be settled for 3.5 percent of their initial value. While a marked improvement over paying the full contract, 3.5 percent of the most expensive tulip would still require a year's work for some unlucky citizens.

The Speculation of Crowds Comes to Cryptoassets

As with Tulipmania, cryptoassets are vulnerable to the speculation of crowds. This is especially true as people fixate on the incredible returns some early bitcoin investors enjoyed and hope that the latest cryptocurrency, cryptocommodity, or cryptotoken will make them rich too.

However, remember that just because the unfettered enthusiasm of a crowd takes an asset to unreasonable highs doesn't mean the asset itself is flawed. Tulips are still enjoyed and sold worldwide. And as we saw with the tech and telecom boom, there were gems such as Amazon and Salesforce that would reward their patient investors spectacularly for years to come. The investors who got burned were the ones who bought because everyone else was buying, and then sold because everyone else was selling. The best way to avoid getting burned in this manner is to do proper due diligence and have an investment plan that is adhered to. If the urge is to buy the asset because everyone else is buying it and it keeps going up, then it's likely best to walk away from any consideration of that investment. Speculative bubbles are particularly